

CHAPTER 2

Getting Started — Accounts, Brokers & Orders

Explained so simply a 10-year-old gets it

Wallets, toy boxes, shop helpers, and instruction slips — the everyday tools you use to actually buy and sell, without the scary jargon.

Stock Market Mastery Roadmap • Beginner Level
Educational only — not investment, trading, or tax advice.

👛 Two accounts: a "wallet" and a "toy box"

To buy shares you need **two accounts** that work as a team. People mix them up, so here is the easy way to remember:

- 🏠 **Trading account** = your **wallet + the doorway to the shop**. It is what you use to *buy and sell*. Money moves in and out through it.
- 🧸 **Demat account** = your **toy box**. It *holds* the shares you own, safely, so they don't get lost.

ONE-LINE WAY TO REMEMBER

The **trading account does the action** (buy/sell). The **demat account does the holding** (keeps your shares). You need both — like needing a hand to *pick* a toy and a box to *keep* it.

🏪 Choosing a broker: two kinds of shops

A **broker** is your helper who places orders for you. There are two main types, like two kinds of shops:

Type	Like a...	Good because...	Watch out...
Discount broker	self-service shop	very cheap fees, simple app, great for DIY	little hand-holding or advice
Full-service broker	shop with a helper walking beside you	gives advice , research, a person to call	charges much higher fees

Whichever you pick, always check the **brokerage** (the fee they take on each trade), the app quality, and how they handle your money safely.

📝 Opening the account: showing your ID (KYC)

KYC means "**Know Your Customer**." Before letting you play, the shop must be sure you are really you — just like a school checks who is allowed to pick you up. You show:

- 🪪 **PAN card** — your money ID number.
- 🪪 **ID Aadhaar** — your identity proof.
- 🏦 **Bank linkage** — connecting your bank so money can move in and out.
- 📱 **e-KYC / in-person KYC** — doing it online with a selfie/OTP, or in person.
- 👤 **Nominee** — the person who gets your shares if something happens to you (very important, don't skip it).

🎯 Order types: how you tell the shop what you want

An **order** is your instruction to buy or sell. There are different styles depending on *how careful* you want to be:

Order	What it means (kid version)
Market order	Buy/sell right now at whatever price is available . Fast, but you might not love the price.
Limit order	Buy/sell only at my price or better . You wait patiently; it may not happen at all.
Stop-loss (SL)	A safety exit : "if the price falls to here, sell me out" — so a small loss doesn't become a big one.
SL-M (stop-loss market)	Same safety exit, but it gets you out for sure , even in a fast, scary market.
GTT / GTD	A " wait for me " order that stays alive for many days until your price arrives (Good-Till-Triggered / Dated).
AMO	An " after-market order " you place at night; it lines up for the next morning.

Order	What it means (kid version)
Bracket / Cover	Combo orders that set your target and safety-exit together in one go (where offered).

Product tags: the "sticker" on your order

Every order also carries a **product tag** that decides how long you can hold it and how much borrowing (leverage) you get:

- **CNC (delivery)**  — "I'm keeping this." You pay full cash; the share sits in your toy box as long as you like.
- **MIS (intraday)**  — "Just for today." Cheaper to enter, but the shop **auto-sells it before market close** — no overnight keeping.
- **NRML (carryforward)**  — "Hold it overnight," used mainly for F&O positions you keep for days.

THE MIS SURPRISE TO AVOID

If you use **MIS (intraday)** and forget, the broker **force-sells your position near closing time** — sometimes at a bad price. Knowing your broker's **auto-square-off time** stops this nasty shock.

Reading a quote: the stock's "name tag"

When you look at a stock, lots of little numbers appear. Here is what they mean:

- **LTP — Last Traded Price:** the price of the most recent deal.
- **Bid / Ask** — the **highest someone will pay** (bid) and the **lowest someone will sell for** (ask).
- **Depth (order book)** — a peek at **how many buyers and sellers** are waiting at each price.
- **Volume** — **how many shares** have traded today (busy stock vs quiet stock).
- **VWAP** — the **average price weighted by volume** — a "fair middle" for the day.
- **Day range / 52-week range** — the **high-low** for today, and for the whole year.
- **Circuit limits** — the **price speed limits** from Chapter 1.

The paperwork: your receipts

- **Contract note** — the **bill for a trade**: shows the price *and* every little charge.
- **Ledger** — your **money diary** with the broker: cash in, cash out.
- **Holdings statement** — the **list of what's in your toy box** right now.

Key ideas to remember

- **Bid-ask spread & slippage** — the **hidden cost** of grabbing a market order in a quiet stock: you pay a bit more than you hoped. The wider the gap, the more it stings.
- **Limit vs Market** — you get **certainty of price or certainty of getting filled**, but rarely both at once.
- **How a stop-loss triggers** — there's a **trigger price** (the alarm) and a **limit price** (the fence). In a fast market, **SL-M** protects you better because it just gets you out.
- **Product tags decide leverage & auto-exit** — **MIS** is squared off intraday, **CNC** needs full cash, **NRML** carries F&O overnight.

PRACTICAL EXERCISES

-  **On a simulator**, place *one of each* order type on the same busy stock. Write down the **price you got** vs the **price you wanted**.
-  Place a **limit buy below** the price and a **limit sell above** it — watch them **rest in the order book** and wait.
-  Read **one real contract note** and find each charge: **brokerage, STT, exchange fees, GST, stamp duty, SEBI charges** — line by line.
-  Set a **GTT** to buy a stock **5% lower** and watch how it waits over a week.

REAL-WORLD APPLICATION

-  **Using limit orders by default** (and market orders only for very busy stocks) quietly **saves professionals a lot of money** over a year.

-  **Knowing MIS auto-square-off timings** prevents a **forced exit at the worst possible moment**.

PRO TIP: MAKE A "COST CARD"

Memorise the **full charge stack** for one delivery trade and one intraday trade. Most beginners badly **underestimate how much STT + brokerage + slippage eats** into small, frequent trades. Tiny costs, repeated often, add up fast.

ONE-LINE SUMMARY

Your **trading account acts**, your **demat account holds**. Pick a broker (cheap **discount** or advice-giving **full-service**), finish **KYC**, then choose an **order type** (market/limit/SL) and a **product tag** (CNC/MIS/NRML) that matches your plan — and always know the **real cost** of each trade.